SchoolStack Budget

Lender Conversation Snapshot

Liberty STEM Charter School

5-Year Financial Model

Prepared May 14, 2026

Built from assumptions

Almost there — a few targeted edits will tighten the story.

Your model has real promise, and there are just a few areas to strengthen. The recommendations above will help you build a more resilient financial plan, and every improvement makes your projections more achievable.

Packet Contents

This packet is generated from the school's financial model and is intended for lender review.
All projections are based on assumptions entered by the school founder.

Lender Commentary

Liberty STEM Charter School is a charter school, based in AZ. Liberty STEM Charter School projects enrollment of 200 students in Year 1, growing to 600 by Year 5 against a stated capacity of 600 seats. Based on the canonical financial engine that powers this packet, the model reads as: Almost there - a few targeted edits will tighten the story. Your model has real promise, and there are just a few areas to strengthen. The recommendations above will help you build a more resilient financial plan, and every improvement makes your projections more achievable.

On the normalized base case (founder compensation marked to market), Year 1 debt service coverage is 30.65x. Cash remains positive across the full 5-year projection, with reserves reaching 78 months of operating expense by Year 5. The model crosses operating break-even in Year 1, and Year 1 requires 93 students to cover fixed costs and debt service (16% of stated capacity).

Year 1 revenue mix is 0% contracted, 1% projected enrollment-driven, 95% policy-dependent, and 4% donor-dependent. The top 2 risks surfaced are: Let's back the enrollment ramp with evidence (medium). Mitigant: Back every enrollment target with documented demand - signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion.; Let's tie new hires to enrollment milestones (medium). Mitigant: Align staffing additions to enrollment milestones. Hire when students are enrolled, not when you hope they will be. Use part-time or contract roles to bridge gaps..

Founder compensation has been normalized to market for underwriting. Across the modeled period the founder is drawing $344,883 below a market salary for the role. On a planned-comp basis the Year 1 DSCR would read 30.84x; on the normalized basis it lands at 30.65x, which is the figure used throughout this packet. The lender-primary view in this packet underwrites the school at the market cost of running it, not the founder's voluntary discount.

Under the toughest stress in the lender battery (ESA / Public Funding Delayed 3 Months), minimum DSCR holds at 14.23x and minimum ending cash at $1,118,711. Strong Year 5 net income The full risk and recommendation set follows in the body of the packet.

Every figure in this commentary is sourced from the same canonical engine that powers the rest of this packet.

Executive Summary

Liberty STEM Charter School projects $18,125,509 in Year 5 revenue with a 69.3% net margin. There is 1 area to strengthen, and the recommendations below will help you build a more compelling financial story.

[ ] Lender Readiness: Needs Work
[ ] Biggest Strength: Strong Year 5 net income
[ ] Biggest Risk: Public funding is the primary revenue source — model disbursement timing carefully and maintain cash reserves for funding gaps
[ ] Cash Runway: 60+ months

Budget Narrative

Liberty STEM Charter School projects $18,125,509 in Year 5 revenue with a 69.3% net margin. There is 1 area to strengthen, and the recommendations below will help you build a more compelling financial story.

Flagged Assumptions

[Warning] 50% growth (Year 1 !’ 2)
[Info] 200 students (33% of 600 capacity)
[Info] Tuition covers 2% of Year 1 total expenses

Assumptions Confidence

PROJECTED **Needs Support** 0% weighted evidence · 0 of 22 tagged

This does not mean your plan is weak. It means this part needs more clarity.

Each major assumption below is tagged by the founder with the source they leaned on. Higher-confidence sources (actuals, signed agreements, written quotes) are stronger evidence than research benchmarks or estimates.

0 of 22 assumptions tagged yet — the founder has not anchored any inputs to evidence. Posture defaults to "Needs Support" until at least some keys are tagged.

School Overview

Liberty STEM Charter School is a Startup / Pre-Opening Charter School organized as a 501(c)(3) Nonprofit with a Public Funded (Charter) funding profile.

Supporting Assumptions

School Stage **Startup / Pre-Opening**
School Type **Charter School**
Funding Profile **Public Funded (Charter)**
Entity Type **501(c)(3) Nonprofit**
State **AZ**
Opening Year **2026**

Enrollment Plan

Enrollment starts at 200 students in Year 1 and grows to 600 by Year 5 (200% growth).

Enrollment by Year

Year	Students
Year 1	200
Year 2	300
Year 3	400
Year 4	500
Year 5	600

Supporting Assumptions

Year 1 Enrollment **200**
Year 2 Enrollment **300**
Year 3 Enrollment **400**
Year 4 Enrollment **500**
Year 5 Enrollment **600**

Revenue Model

The revenue model is primarily publicly funded (94.7% of Year 1 revenue). Year 1 total revenue is projected at $5.8M, growing to $18.5M by Year 5.

[ ] Tuition %: 1.0%
[ ] Public Funding %: 94.7%
[ ] Philanthropy %: 4.3%
[ ] Year 1 Contracted Revenue %: 0.0%
[ ] Hard Revenue Coverage (Y1): 0.00×

Revenue by Year

Year	Total Revenue
Year 1	$5.8M
Year 2	$8.8M
Year 3	$11.9M
Year 4	$15.1M
Year 5	$18.5M

Revenue Quality (Contracted vs. Projected vs. Donor / Policy Dependent)

Bucket	Year 2	Year 3	Year 4	Year 5	Year 6
Contracted	$0 (0.0%)	$0 (0.0%)	$0 (0.0%)	$0 (0.0%)	$0 (0.0%)
Policy-Dependent	$4.6M (94.7%)	$8.5M (97.2%)	$11.5M (98.9%)	$14.7M (98.9%)	$17.9M (98.9%)
Projected	$50K (1.0%)	$92K (1.1%)	$125K (1.1%)	$159K (1.1%)	$195K (1.1%)
Donor-Dependent	$208K (4.3%)	$150K (1.7%)	$0 (0.0%)	$0 (0.0%)	$0 (0.0%)
Hard revenue coverage of fixed + debt	0.00×	0.00×	0.00×	0.00×	0.00×

Revenue Lines (Year 1)

Line Item	Year 1
State Per-Pupil Funding (K-5)	$1.6M
State Per-Pupil Funding (6-8)	$1.8M
State Per-Pupil Funding (9-12)	$1.9M
Title I Federal Funding	$240K
Charter Startup Grant (CSPP)	$250K
After-School & Summer Programs	$60K

Supporting Assumptions

State Per-Pupil Funding (K-5) **$1.6M**
State Per-Pupil Funding (6-8) **$1.8M**

State Per-Pupil Funding (9-12) **$1.9M**
Title I Federal Funding **$240K**
Charter Startup Grant (CSPP) **$250K**
After-School & Summer Programs **$60K**

Staffing Plan

Staffing costs are $1.7M in Year 1, representing 29.4% of revenue. This leaves healthy room for other operating costs. Founder compensation is normalized to market rate for the lender / board view. The 5-year normalization adjustment increases fully-loaded staffing cost by +$344,883 (salary + benefits + payroll tax). Year-1 DSCR moves from 30.84x to 30.65x and cash runway moves from 60.0 to 60.0 months when normalized. DSCR, runway, and net income figures elsewhere in this packet reflect the normalized view; the founder dashboard reflects the as-planned view.

Suggested founder compensation steps up year over year as projected enrollment crosses NAIS / NACSA size bands (escalated by COLA from Y1). Source: NACSA member surveys and state charter authorizer compensation disclosures (CO, TX, CA), 2022-24. Median Executive Director / Head of School cash compensation by enrollment.. Size-band transitions during the forecast: Year 2 (150–300 students to 300–500 students, suggested rate $155,000); Year 4 (300–500 students to 500–1,000 students, suggested rate $202,000). Each crossing bumps the lender-side market rate for the founder / head-of-school role.

[+] Staffing % of Revenue: 35.3%

Suggested Founder Compensation Benchmark by Year

Year	Projected Enrollment	Size Band	Suggested Market Rate
Year 1	200	150–300 students	$120,000
Year 2	300	300–500 students (new band)	$155,000
Year 3	400	300–500 students	$159,000
Year 4	500	500–1,000 students (new band)	$202,000
Year 5	600	500–1,000 students	$208,000

Founder Compensation Normalization

Year	As Planned (Reported)	Market Rate (Normalized)	Loaded Adjustment
Year 1	$110,000	$120,000	$13,265
Year 2	$113,300	$155,000	$55,315
Year 3	$116,699	$159,000	$56,112
Year 4	$120,200	$202,000	$108,508
Year 5	$123,806	$208,000	$111,683
Total adjustment (Y1–Y5)	—	—	$344,883

As-Planned vs Normalized: Net Income & DSCR

Year	Net Income (Reported)	Net Income (Normalized)	DSCR (Reported)	DSCR (Normalized)
Year 1	$2,072,877	$2,059,612	30.84x	30.65x
Year 2	$4,808,465	$4,753,150	70.23x	69.43x
Year 3	$6,968,143	$6,912,031	101.32x	100.51x
Year 4	$9,664,873	$9,556,366	140.15x	138.59x
Year 5	$12,577,839	$12,466,156	182.09x	180.48x

As-Planned vs Normalized: Cash Runway

View	Cash Runway (months)	Reserve (months)
As Planned (Reported)	60.0	78.1
Lender View (Normalized)	60.0	75.8

Supporting Assumptions

Executive Director **$110,000, 1 FTE**
Principal **$90,000, 1 FTE**
Dean of Students **$75,000, 1 FTE**
STEM Teachers **$55,000, 8 FTE**
General Teachers **$48,000, 4 FTE**
Special Education Staff **$52,000, 2 FTE**
Office & Finance Staff **$45,000, 3 FTE**
Custodial / Maintenance **$35,000, 2 FTE**

Expense Summary

Total expenses grow from $2.9M in Year 1 to $5.5M by Year 5.

Expenses by Year

Year	Staffing	Operating	Debt Service	Total
Year 1	$1.7M	$1.1M	$69K	$2.9M
Year 2	$2.8M	$1.0M	$69K	$3.9M
Year 3	$3.3M	$1.3M	$69K	$4.7M
Year 4	$3.5M	$1.6M	$69K	$5.2M
Year 5	$3.6M	$1.9M	$69K	$5.5M

Capital & Debt

The model includes 2 debt instruments totaling $575K.

Supporting Assumptions

Facility Expansion Loan **$500K at 6.5% for 15 years**
Equipment Financing (STEM lab) **$75K at 5.5% for 5 years**

5-Year Financial Projection

The model reaches break-even in Year 1. Year 5 change in net assets is projected at $12.9M (70.0% margin).

• Breakeven enrollment
Breakeven enrollment is 80 students (150% above Year 1 enrollment).

• Accounting basis
All projections are prepared on an accrual basis; the school currently keeps books on a undetermined basis.

[+] Revenue per Student (Year 1): $24,375 (benchmark: Charter avg: $10,000–$15,000)
[+] Cost per Student (Year 1): $14,082 (benchmark: Target: "d 85% of revenue per student)
[+] Staffing Cost (% of Revenue): 35.3% (benchmark: Industry avg: 50–65% of revenue)
[+] Operating Cost (% of Revenue): 22.2% (benchmark: Target: under 30% of revenue)
[+] Net margin (Year 1): 42.2% (benchmark: Startup target: 0–5%; mature: 10%+)
[+] Net margin (Year 5): 69.3% (benchmark: Target: 10–15%+)
[+] 5-Year Revenue Growth: 271.8% (benchmark: Healthy schools: 30–80% over 5 years)
[+] Capacity Utilization (Year 5): 100.0% (benchmark: Optimal: 80–95% utilization)

5-Year Change in Net Assets Projection

Year	Students	Revenue	Expenses	Change in Net Assets	Margin
Year 1	200	$5.8M	$2.9M	$2.9M	49.8%
Year 2	300	$8.8M	$3.9M	$4.9M	55.8%
Year 3	400	$11.9M	$4.7M	$7.3M	60.9%
Year 4	500	$15.1M	$5.2M	$10.0M	66.0%
Year 5	600	$18.5M	$5.5M	$12.9M	70.0%

Opening Balance Sheet

Net position at model start: $300K.

[ ] Total Assets: $300K
[ ] Total Liabilities: $0
[ ] Net Position: $300K

Assets

Item	Amount
Cash & Equivalents	$200K
Accounts Receivable	$0
Fixed Assets	$100K

Other Assets	$0

Total Assets	$300K

Liabilities

Item	Amount
Accounts Payable	$0
Current Debt Portion	$0
Long-Term Debt	$0
Total Liabilities	$0

Facility & Key Performance Indicators

Breakeven enrollment is 80 students. Year 1 projects 200 students, providing a 150.0% cushion.

[ ] Breakeven Enrollment: 80
[ ] Facility Cost/Student: $1K

Key Performance Indicators

Metric	Value
Facility Cost / Student	$1K
Renewal Option	No
Breakeven Enrollment	80 students
Enrollment Cushion	+150.0%

Cash Flow Analysis

Cash stays positive throughout the entire 5-year projection. Opening balance: $300K total assets, $0 total liabilities, $300K net position. Lowest cash month across the 5-year forecast: Year 1 — Jul at $625K.

[ ] Cash Runway: 60+ months
[ ] Lowest Cash Month: Year 1 — Jul ($625K)

Cumulative Cash Position

Year	Cumulative Net Income	Reserve Months
Year 1	$2.1M	8.8 months
Year 2	$6.9M	21.0 months
Year 3	$13.8M	35.4 months
Year 4	$23.5M	54.5 months
Year 5	$36.0M	77.7 months

Year 1 Monthly Cash Flow Summary

Month	Beginning	Inflows	Outflows	Net Cash Flow	Ending
Jul	$200K	$718K	($292K)	$425K	$625K
Aug	$625K	$468K	($292K)	$175K	$801K
Sep	$801K	$468K	($292K)	$175K	$976K
Oct	$976K	$468K	($292K)	$175K	$1.2M
Nov	$1.2M	$468K	($292K)	$175K	$1.3M
Dec	$1.3M	$468K	($292K)	$175K	$1.5M
Jan	$1.5M	$468K	($292K)	$175K	$1.7M
Feb	$1.7M	$468K	($292K)	$175K	$1.9M
Mar	$1.9M	$468K	($292K)	$175K	$2.0M
Apr	$2.0M	$468K	($292K)	$175K	$2.2M
May	$2.2M	$462K	($6K)	$456K	$2.7M
Jun	$2.7M	$462K	($6K)	$456K	$3.1M

Year 2 Monthly Cash Flow Summary

Month	Beginning	Inflows	Outflows	Net Cash Flow	Ending
Jul	$3.1M	$863K	($325K)	$538K	$3.7M
Aug	$3.7M	$713K	($325K)	$388K	$4.0M
Sep	$4.0M	$713K	($325K)	$388K	$4.4M
Oct	$4.4M	$713K	($325K)	$388K	$4.8M
Nov	$4.8M	$713K	($325K)	$388K	$5.2M
Dec	$5.2M	$713K	($325K)	$388K	$5.6M
Jan	$5.6M	$713K	($325K)	$388K	$6.0M
Feb	$6.0M	$713K	($325K)	$388K	$6.4M
Mar	$6.4M	$713K	($325K)	$388K	$6.8M
Apr	$6.8M	$713K	($325K)	$388K	$7.1M
May	$7.1M	$713K	($325K)	$388K	$7.5M
Jun	$7.5M	$713K	($325K)	$388K	$7.9M

Year 3 Monthly Cash Flow Summary

Month	Beginning	Inflows	Outflows	Net Cash Flow	Ending
Jul	$7.9M	$969K	($389K)	$580K	$8.5M
Aug	$8.5M	$969K	($389K)	$580K	$9.1M
Sep	$9.1M	$969K	($389K)	$580K	$9.7M
Oct	$9.7M	$969K	($389K)	$580K	$10.2M
Nov	$10.2M	$969K	($389K)	$580K	$10.8M
Dec	$10.8M	$969K	($389K)	$580K	$11.4M
Jan	$11.4M	$969K	($389K)	$580K	$12.0M
Feb	$12.0M	$969K	($389K)	$580K	$12.6M
Mar	$12.6M	$969K	($389K)	$580K	$13.1M
Apr	$13.1M	$969K	($389K)	$580K	$13.7M
May	$13.7M	$969K	($389K)	$580K	$14.3M
Jun	$14.3M	$969K	($389K)	$580K	$14.9M

Year 4 Monthly Cash Flow Summary

Month	Beginning	Inflows	Outflows	Net Cash Flow	Ending
Jul	$14.9M	$1.2M	($430K)	$805K	$15.7M
Aug	$15.7M	$1.2M	($430K)	$805K	$16.5M
Sep	$16.5M	$1.2M	($430K)	$805K	$17.3M
Oct	$17.3M	$1.2M	($430K)	$805K	$18.1M
Nov	$18.1M	$1.2M	($430K)	$805K	$18.9M
Dec	$18.9M	$1.2M	($430K)	$805K	$19.7M
Jan	$19.7M	$1.2M	($430K)	$805K	$20.5M
Feb	$20.5M	$1.2M	($430K)	$805K	$21.3M
Mar	$21.3M	$1.2M	($430K)	$805K	$22.1M
Apr	$22.1M	$1.2M	($430K)	$805K	$22.9M
May	$22.9M	$1.2M	($430K)	$805K	$23.7M
Jun	$23.7M	$1.2M	($430K)	$805K	$24.5M

Year 5 Monthly Cash Flow Summary

Month	Beginning	Inflows	Outflows	Net Cash Flow	Ending
Jul	$24.5M	$1.5M	($462K)	$1.0M	$25.6M
Aug	$25.6M	$1.5M	($462K)	$1.0M	$26.6M
Sep	$26.6M	$1.5M	($462K)	$1.0M	$27.7M
Oct	$27.7M	$1.5M	($462K)	$1.0M	$28.7M
Nov	$28.7M	$1.5M	($462K)	$1.0M	$29.8M
Dec	$29.8M	$1.5M	($462K)	$1.0M	$30.8M
Jan	$30.8M	$1.5M	($462K)	$1.0M	$31.9M
Feb	$31.9M	$1.5M	($462K)	$1.0M	$32.9M
Mar	$32.9M	$1.5M	($462K)	$1.0M	$34.0M
Apr	$34.0M	$1.5M	($462K)	$1.0M	$35.0M
May	$35.0M	$1.5M	($462K)	$1.0M	$36.1M
Jun	$36.1M	$1.5M	($462K)	$1.0M	$37.1M

Lowest Cash Month by Year

Year	Month	Ending Cash
Year 1	Jul	$625K
Year 2	Jul	$3.7M
Year 3	Jul	$8.5M
Year 4	Jul	$15.7M
Year 5	Jul	$25.6M

Debt Service Coverage

DSCR is above 1.25x, and your operating income comfortably covers debt payments. Current DSCR is 30.64x. Benchmark: Healthy minimum: 1.15x; target: 1.25x.

[+] Debt Service Coverage Ratio (Year 1): 30.64x (benchmark: Healthy minimum: 1.15x; target: 1.25x)
[+] Year 1 Reserve Months: 8.8 months (benchmark: Target: 3+ months)
[+] Year 2 Reserve Months: 21.0 months (benchmark: Target: 3+ months)
[+] Year 3 Reserve Months: 35.4 months (benchmark: Target: 3+ months)
[+] Year 4 Reserve Months: 54.5 months (benchmark: Target: 3+ months)
[+] Year 5 Reserve Months: 77.7 months (benchmark: Target: 3+ months)

DSCR Summary

Current DSCR: **30.64x**
Benchmark: **Healthy minimum: 1.15x; target: 1.25x**
Trend: **DSCR is above 1.25x, and your operating income comfortably covers debt payments.**

Operating Reserve & Ending Cash

Year	Ending Cash	Reserve Months	Status
Year 1 (trough)	$2.3M	8.8 months	Adequate
Year 2	$7.1M	21.0 months	Adequate
Year 3	$14.0M	35.4 months	Adequate
Year 4	$23.7M	54.5 months	Adequate
Year 5	$36.2M	77.7 months	Adequate

Tightest cash year: Year 1 ends at $2.3M.

Year-end unrestricted cash: $36.2M
vs accrual: $36.2M (no restricted gifts). Unrestricted is the headline DSCR + runway are computed off; restricted gifts can't legally fund operations or debt service.

Stress Testing

1 of 6 stress scenarios result in negative Year 5 net income, suggesting the model has limited cushion against adverse conditions.

Stress Test Results

Scenario	Y1 Net Income	Y5 Net Income	Break-Even	Reserve (mo)	Y1 DSCR	Runway (mo)
Enrollment 20% Below Plan	$1.4M	$9.2M	Year 1	60.7	21.74x	60+
Loss of Philanthropy	$1.9M	$12.6M	Year 1	77.3	27.84x	60+
Hard revenue only	$-2.8M	$-5.4M	Never	0.0	-38.62x	1
Occupancy +15%, Personnel +5%	$1.9M	$12.3M	Year 1	71.5	28.81x	60+
Revenue Delayed 3 Months	$854K	$8.2M	Year 1	47.9	13.30x	60+
Interest Rate +2%	$2.1M	$12.6M	Year 1	77.9	27.78x	60+

Lender Readiness

Lender Readiness: Needs Work. Your model has real promise, and there are just a few areas to strengthen. The recommendations above will help you build a more resilient financial plan, and every improvement makes your projections more achievable.

[~] Readiness Level: Needs Work

Financial Health Assessment

Across 8 health dimensions: 7 healthy, 1 on watch, 0 at risk.

[+] viability: Healthy
[+] liquidity: Healthy
[+] staffing burden: Healthy

[+] facility burden: Healthy
[+] debt affordability: Healthy
[~] revenue concentration: Watch closely
[+] days cash: Healthy
[+] reserve strength: Healthy

Health Dimensions

Dimension	Status	Details
Viability	Healthy	The model reaches net income early and sustains strong margins through Year 5.
Liquidity	Healthy	Cash stays positive throughout the projection and reserves exceed 3 months of expenses.
Staffing Burden	Healthy	Staffing at 35% of revenue leaves room for facilities, programs, and reserves.
Facility Burden	Healthy	Facility costs at 5% of revenue are well-managed and leave budget for programs.
Debt Affordability	Healthy	DSCR of 30.64x provides comfortable coverage of debt payments with room to spare.
Revenue Concentration	Watch closely	95% of revenue comes from public funding. This is typical for charter schools, but disbursement timing and policy changes can create cash flow gaps.
Days Cash	Healthy	267 days of cash on hand exceeds the 90-day benchmark, providing a strong liquidity cushion.
Reserve Strength	Healthy	77.7 months of reserves by Year 5 — a strong buffer for unexpected costs.

Key Risks

2 risk factors have been identified. None are rated critical, but each should have a documented mitigation plan.

[+] Let's back the enrollment ramp with evidence: medium
[+] Let's tie new hires to enrollment milestones: medium

MEDIUM
Let's back the enrollment ramp with evidence
Enrollment is the engine of every revenue and staffing assumption downstream. The more evidence we can attach to each year's number, the more confident the rest of the model becomes.
Evidence: Year 1: 200 students | Year 2: 300 students | Year 3: 400 students | Year 4: 500 students | Year 5: 600 students | Capacity: 600
Mitigation: Back every enrollment target with documented demand — signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion. Next step: Open Step 4: Enrollment and either soften the steepest year to a 15-25% jump, or paste your waitlist count, signed letters of intent, and recruitment plan into the Story step so reviewers see the evidence.

MEDIUM
Let's tie new hires to enrollment milestones
Hiring slightly behind enrollment, rather than ahead of it, keeps fixed costs aligned with the revenue actually arriving. It also gives you a clean answer to 'what triggers each new role'.
Evidence: Year 2 enrollment: 300 students | Year 2 staffing cost: $2,787,507
Mitigation: Align staffing additions to enrollment milestones. Hire when students are enrolled, not when you hope they will be. Use part-time or contract roles to bridge gaps. Next step: Open Step 6: Staffing and tie each new role's start date to a specific enrollment milestone (e.g. 'add when Y2 enrollment hits 60'), or push the role into a later year.

[+] Let's back the enrollment ramp with evidence: medium
[+] Let's tie new hires to enrollment milestones: medium

See Appendix for complete assumption details.

Decision History

No decisions have been tracked with an outcome yet. As the team marks saved scenarios as Pursued, Declined, or On hold, those outcomes (and any retrospective notes) will appear here so reviewers can see what actually happened versus what was modeled.

Once decisions are saved with a Pursued / Declined / On hold outcome inside the planner, they will be summarized here.

Appendix: Key Assumptions

Complete list of 24 assumptions used in this financial model, with each headline metric tied to its driving assumptions.

Supporting Assumptions

— Assumption sources by headline metric —
(maps each key output to the assumptions and wizard step that drive it)

Year 1 revenue **Year 1 enrollment: 200; Tuition per student: Not entered; Tuition collection rate: Not entered; Tuition escalation: Not entered**
Driven by inputs in: Enrollment, Revenue.

Year 1 total expenses **Year 1 staffing cost: $1,720,999; Year 1 facility cost: $220,000; Year 1 operating expenses: $441,667; Year 1 debt service: $69,457; General cost inflation: 3.0%**
Driven by inputs in: Staffing, Expenses, Capital & Financing.

Year 1 net income **Year 1 enrollment: 200; Tuition per student: Not entered; Year 1 staffing cost: $1,720,999; Year 1 facility cost: $220,000; Year 1 operating expenses: $441,667**
Driven by inputs in: Enrollment, Revenue, Staffing, Expenses.

Year 1 operating surplus **Year 1 enrollment: 200; Tuition per student: Not entered; Year 1 staffing cost: $1,720,999; Year 1 facility cost: $220,000; Year 1 operating expenses: $441,667**
Driven by inputs in: Enrollment, Revenue, Staffing, Expenses.

Debt service coverage (DSCR) **Loan principal: $500,000; Loan interest rate: 6.5%; Loan term: 15 yr; Year 1 debt service: $69,457; Year 1 staffing cost: $1,720,999**
Driven by inputs in: Capital & Financing, Staffing.

Cash reserve (months) **Starting cash: $200,000; Year 1 operating expenses: $441,667; Year 1 staffing cost: $1,720,999; Tuition collection rate: Not entered**
Driven by inputs in: Assumptions & Sensitivity, Expenses, Staffing, Revenue.

Year 1 ending cash **Starting cash: $200,000; Year 1 enrollment: 200; Tuition per student: Not entered; Year 1 staffing cost: $1,720,999; Year 1 debt service: $69,457**
Driven by inputs in: Assumptions & Sensitivity, Enrollment, Revenue, Staffing, Capital & Financing.

Year 5 ending cash **Starting cash: $200,000; Year 5 enrollment: 600; Retention rate: 88.0%; Tuition escalation: Not entered; Annual salary increase: 3.0%**
Driven by inputs in: Assumptions & Sensitivity, Enrollment, Revenue, Staffing.

Break-even year **Year 1 enrollment: 200; Year 5 enrollment: 600; Tuition per student: Not entered; Year 1 staffing cost: $1,720,999; Year 1 facility cost: $220,000**
Driven by inputs in: Enrollment, Revenue, Staffing, Expenses.

... and 24 more (see Appendix)

Break-Even & Downside Sensitivity

Break-even student counts assume current revenue and cost mix. Utilization compares break-even to the stated max capacity of 600 students.

Per-Year Break-Even

Year 1 (planned 200): **93 students · 16% of capacity**
Year 2 (planned 300): **121 students · 20% of capacity**
Year 3 (planned 400): **140 students · 23% of capacity**
Year 4 (planned 500): **146 students · 24% of capacity**
Year 5 (planned 600): **147 students · 25% of capacity**

Downside Enrollment Band

If 10% fewer students enroll

Year 1 (180 students): **DSCR 26.32x · Ending cash $1,958,775**
Year 2 (270 students): **DSCR 61.94x · Ending cash $6,191,258**
Year 3 (360 students): **DSCR 88.65x · Ending cash $12,279,550**
Year 4 (450 students): **DSCR 120.55x · Ending cash $20,583,131**
Year 5 (540 students): **DSCR 158.13x · Ending cash $31,496,744**

If 20% fewer students enroll

Year 1 (160 students): **DSCR 21.74x · Ending cash $1,640,891**
Year 2 (240 students): **DSCR 53.11x · Ending cash $5,260,668**
Year 3 (320 students): **DSCR 75.44x · Ending cash $10,431,285**
Year 4 (400 students): **DSCR 102.63x · Ending cash $17,490,452**
Year 5 (480 students): **DSCR 134.17x · Ending cash $26,739,840**

Enrollment × Tuition Sensitivity (Yr 1 DSCR / Yr 5 ending cash)

Each cell re-runs the canonical engine with the row's enrollment delta and the column's tuition delta applied together. Cells shaded green clear the 1.25x DSCR benchmark; amber sit between 1.15x–1.25x; red are below 1.15x.

Enrollment !" / Tuition !'	-5% tuition	0% tuition	+5% tuition	+10% tuition
-20% enroll	**27.33x** $33,383,969	**30.84x** $36,292,199	**34.35x** $39,200,428	**37.86x** $42,108,657
-15% enroll	**27.33x** $33,383,969	**30.84x** $36,292,199	**34.35x** $39,200,428	**37.86x** $42,108,657
-10% enroll	**27.33x** $33,383,969	**30.84x** $36,292,199	**34.35x** $39,200,428	**37.86x** $42,108,657
-5% enroll	**27.33x** $33,383,969	**30.84x** $36,292,199	**34.35x** $39,200,428	**37.86x** $42,108,657
0% enroll	**27.33x** $33,383,969	**30.84x** $36,292,199	**34.35x** $39,200,428	**37.86x** $42,108,657
+5% enroll	**27.33x** $33,383,969	**30.84x** $36,292,199	**34.35x** $39,200,428	**37.86x** $42,108,657
+10% enroll	**27.33x** $33,383,969	**30.84x** $36,292,199	**34.35x** $39,200,428	**37.86x** $42,108,657

Standard Lender Stress Tests

Five fixed downside scenarios re-run against the canonical model. Each row shows the worst-year DSCR, ending-cash trough, and Year-1 net-income delta vs base. Identical figures appear on the founder dashboard and in the lender pro-forma workbook.

Base case: **Min DSCR 30.84x · Min ending cash $2,272,877 · Runway 60.0 mo**

Enrollment -10%

All five enrollment years scaled down by 10% — the standard lender enrollment-miss sensitivity.

Min DSCR: 26.32x · Min ending cash: $1,958,775 · Runway: 60.0 mo · Break-even: Year 1

Year-1 net income vs base: -$314,102

Enrollment -20%

All five enrollment years scaled down by 20% — the stretch downside lenders use to confirm the school can survive a soft-launch.

Min DSCR: 21.74x · Min ending cash: $1,640,891 · Runway: 60.0 mo · Break-even: Year 1

Year-1 net income vs base: -$631,986

ESA / Public Funding Delayed 3 Months

Year-1 ESA, school-choice, and public-funding receipts reduced by 25% ("H 3 months delayed) to simulate a slow first disbursement.

Min DSCR: 14.23x · Min ending cash: $1,118,711 · Runway: 60.0 mo · Break-even: Year 1

Year-1 net income vs base: -$1,154,167

Rent Shock +25%

Occupancy & facility expense rows escalated by 25% — covers a lease renewal, market-rate reset, or unbudgeted CAM/utilities surprise.

Min DSCR: 30.05x · Min ending cash: $2,217,877 · Runway: 60.0 mo · Break-even: Year 1

Year-1 net income vs base: -$55,000

Founder Comp Normalized to Market

Founder compensation re-cast at the market-rate benchmark (with benefits + payroll tax). The lender / board view of true operating cost.

Min DSCR: 30.65x · Min ending cash: $2,272,877 · Runway: 60.0 mo · Break-even: Year 1

Year-1 net income vs base: -$13,265

Founder Compensation

Per-year founder pay shown two ways: as planned (what the founder draws) and at market rate (what a comparable hire would cost). The lender adjustment is the gap underwriters apply to staffing cost and DSCR.

Line	Y1	Y2	Y3	Y4	Y5	5
As planned (reported)	$110,000	$113,300	$116,699	$120,200	$123,806	
Fully-loaded (incl. benefits + payroll tax)	$145,915	$150,292	$154,801	$159,445	$164,229	
Market rate (normalized)	$120,000	$155,000	$159,000	$202,000	$208,000	
Fully-loaded (incl. benefits + payroll tax)	$159,180	$205,608	$210,914	$267,953	$275,912	$1
Lender adjustment (market - planned)	**$13,265**	**$55,315**	**$56,112**	**$108,508**	**$111,683**	

Note: Founder is paying themselves below market rate ("sweat equity"). Lenders and boards underwrite to the market-rate line; the adjustment shows the gap.